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Case Number: 25NWCV04129 Hearing Date: July 1, 2026 Dept: C

SKLG, APC. vs MYUNG SIK
KIM, et al.

CASE NO.: 25NWCV04129

HEARING: 7/1/26 @ 9:30 AM

#15

TENTATIVE RULING

I.
Cross-Defendants Angie
H. Kim and Edward G. Operini’s Demurrer to Cross-Complainants Myung Sik Kim,
Danny Kim, Chan Kye Park, and Teresa MyungHee Kim’s First Amended
Cross-Complaint is SUSTAINED in part and OVERRULED in part as set forth below.
Cross-Defendants’ Motion to Strike is DENIED.

II.
Cross-Defendant
SKLG, APC’s Demurrer to Cross-Complainants Myung Sik Kim, Danny Kim, Chan Kye
Park, and Teresa MyungHee Kim’s First Amended Cross-Complaint is OVERRULED.
SKLG’s Motion to Strike is DENIED.

Moving Party to give
NOTICE.

I.

Cross-Defendants Angie H. Kim (KIM) and Edward G. Operini (OPERINI) (collectively "Cross-Defendants") demur to the First Cause of Action for Declaratory Relief, the Fourth Cause of Action for Professional Negligence, and the Sixth Cause of Action for Unfair Business Practices as alleged in Cross-Complainants Myung Sik Kim, Danny Kim, Chan Kye Park, and Teresa MyungHee Kim's (collectively "Cross-Complainants") First Amended Cross-Complaint (FACC). Additionally, OPERINI demurs generally and specially to the Fifth Cause of Action for Accounting to the FACC.

II.

Cross-Defendant SKLG, APC (SKLG) demurs generally to the Fourth Cause of Action for Professional Negligence as alleged in Cross-Complainants' First Amended Cross-Complaint pursuant to Code Civ. Proc., § 340.6, as it is time-barred, being brought almost 22 months after the last day of SKLG's legal services.

Background

Cross-Complainants allege MSKIM co-owned a Sushi Restaurant doing business as Tokyo Garden (S&H) with Byung Ha Chang (CHANG). When CHANG failed to make her monthly dividend payments and refused to return her calls, she went to S&H's business site to review financial records. During the visit, MSKIM alleges to have discovered that she was not receiving a fair share of the profits. CrossComplainant DKIM, MSKIM's nephew, reviewed the sales reports and took photographs of them, at which point CHANG reported DKIM, MSKIM, and their family members to the local police department for stealing financial records.

Filed on May 7, 2026, the FACC alleges that Cross-Defendants — the lawyers who represented Cross-Complainants in the underlying shareholder action — exploited the attorney-client relationship to extract approximately $573,494 through excessive billing, a coercive "hybrid" fee addendum that omitted statutorily required disclosures, in-person demands for cash made to an elderly client, and, as to Operini, billing entries charged to Cross-Complainants' account without any engagement agreement and without authority. The 2019 Attorney-Client Fee Agreement identifies SKLG as the contracting attorney.
Operini was never a signatory. (FACC, ¶¶ 2-3.)

Procedural

Background

On
February 13, 2026, Cross-Complainants Myung Sik Kim, Danny Kim, Chan Kye Park, and Teresa MyungHee Kim (Cross-Complainants) filed their Cross-Complaint.

On
April 22, 2026, Cross-Defendant SKLG, APC demurred to the fourth cause of action in the Cross-Complaint filed by Cross-Complaints on the grounds that pursuant to section 430.10(e) of the Code of Civil Procedure Cross-Complainants generally cannot state sufficient facts to state a cause of action.

Cross-Complainants
did not file an opposition to the demurrer with motion to strike. Instead, Cross-Complainants filed a First Amended Cross-Complaint on May 7, 2026. The Court permitted the filing of the First Amended Cross-Complaint pursuant to Code Civ. Proc., § 472.

Request
for Judicial Notice

Cross-Defendants'
Request for Judicial Notice is GRANTED.

Legal
Standard

A demurrer for sufficiency tests whether the
complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (CCP §§ 430.30, 430.70.) At the pleading stage, a plaintiff need only allege ultimate facts sufficient to apprise the defendant of the factual basis for the claim against him. (Semole v. Sansoucie (1972) 28 Cal. App. 3d 714, 721.) A "demurrer does not, however, admit contentions, deductions or conclusions of fact or law alleged in the pleading, or the construction of instruments pleaded, or facts impossible in law." (S. Shore

Land Co. v. Petersen (1964) 226 Cal.App.2d 725, 732, internal citations omitted.)

"Liberality in permitting amendment is the rule, if a fair opportunity to correct any defect has not been given." (Angie M. v. Superior Court (1995) 37 Cal.App.4th 1217, 1227.) It is an abuse of discretion for the court to deny leave to amend where there is any reasonable possibility that plaintiff can state a good cause of action. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.) The burden is on plaintiff to show¿in what manner¿plaintiff can amend the complaint, and¿how¿that amendment will change the legal effect of the pleading. ¿(Id.)

Discussion

1st
CAUSE OF ACTION – DECLARATORY RELIEF

To qualify for declaratory relief, an action must present two essential elements: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the rights or obligations of a party. Cal. Civ. Proc. Code § 1060. The "actual controversy" language in the declaratory judgment statute encompasses a probable future controversy relating to the legal rights and duties of the parties, but it does not embrace controversies that are conjectural, anticipated to occur in the future, or an attempt to obtain an advisory opinion from the court. Cal. Civ. Proc. Code § 1060. (Lee v. Silveira (2016) 6 Cal.App.5th 527.)

Cross-Defendants argue that KIM and OPERINI, as individuals, were not

the parties to Attorney-Fee Agreement or Modified Attorney Services Agreement at issue. Instead,
KIM rendered services as a member of SKLG and OPERINI as its Of-Counsel, as authorized by both the Attorney-Fee Agreement and the Modified Attorney Services Agreement. (FACC ¶8, Exh. 1.)

In

opposition, Cross-Complainants argue that Cross-Defendants' sole argument is that Kim and Operini "were not parties" to the fee agreements. But that is a merits contention about the scope of the controversy, not a basis to deny declaratory relief.

The
Court finds that Cross-Complainants have failed to state sufficient facts to constitute the declaratory relief cause of action against KIM as an individual. It is undisputed that KIM was not a party to the Attorney-Fee Agreement in her individual capacity. However, the FACC states sufficient facts against OPERINI as an individual. The FACC alleges that:

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An actual controversy has arisen between
Cross-Complainants and CrossDefendants concerning their respective rights, duties, and obligations arising out of the LSA, the Hybrid Addendum, Cross-Defendants' billing practices, the asserted Notice of Attorney Lien, and Cross-Defendants' efforts to recover alleged unpaid fees and a contingency percentage through this action and prejudgment attachment.

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Cross-Defendants contend they are entitled to
recover unpaid hourly fees, costs, and 16.6665 percent of any gross recovery pursuant to the Hybrid Addendum.

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Cross-Complainants dispute those contentions and
seek judicial declarations on the following grounds: (a) the Hybrid Addendum is void, voidable, and/or unenforceable because it fails to include the mandatory disclosure required by Business and Professions Code section 6147(a)(4) that the contingency fee is negotiable; (b) the Hybrid Addendum fails to comply with Business and Professions Code section 6148 and California Rules of Professional Conduct, rule 1.8.1, rendering it voidable on independent grounds; (c) the definition of "gross recovery" in the Hybrid Addendum is unlawful, unconscionable, and unenforceable because it purports to impose a contingency fee on funds that were never received by the clients but were unilaterally retained by SKLG; (d) Cross-Defendants are not entitled to any contingency fee because they were voluntarily withdrawn or discharged prior to the occurrence of the contingency, limiting their recovery to quantum meruit under Fracasse v. Brent (1972) 6 Cal.3d 784, an amount that has already been exceeded by the $573,493.92 Cross-Defendants have received; (e) the Notice of Attorney Lien is

invalid and unenforceable because it is based on voidable fee agreements, was procured through unclean hands, and purports to secure a contingency percentage SKLG forfeited by withdrawal; (f) Cross-Defendants' inconsistent accounting, from $213,201.72 to $470,515.10, demonstrates no fixed or readily ascertainable debt exists; and (g) OPERINI has no independent lien rights, no individual fee claim under any agreement with Cross-Complainants, and no enforceable interest in the settlement proceeds. (FACC ¶¶ 45-47.)

To the extent Operini's liability "arises from his own unauthorized acts, not from the fee agreements to which he is a non-party" (FACC ¶ 12), and seeks a declaration that Operini "has no independent lien rights, no individual fee claim under any agreement with Cross-Complainants, and no enforceable interest in the settlement proceeds" the cause of action survives. (FACC ¶ 47(g).)

Accordingly, the demurrer to the first cause of action is OVERRULED.

4th CAUSE OF ACTION- PROFESSIONAL NEGLIGENCE:

Professional Negligence Statute of Limitations: Code of Civil Procedure section 340.6, subdivision (a) (hereafter section 340.6(a)) provides: "An action against an attorney for a wrongful act or omission, other than for actual fraud, arising in the performance of professional services shall be commenced within one year after the plaintiff discovers, or through the use of reasonable diligence should have discovered, the facts constituting the wrongful act or omission....".

Cross-Defendants and SKLG contend the professional negligence count is barred by the one-year limitations period of Code of Civil Procedure section 340.6. Cross-Defendants argue that there was a definite and firm break in time in April 2024, when SKLG and its members KIM and OPERINI ceased to render legal services to Cross-Complainants, when SKLG filed its substitution of counsel confirming Anthony Trujillo (TRUJILLO) as the new counsel, when SKLG transferred the client files to TRUJILLO, and when SKLG prepared TRUJILLO for the April 30, 2024 hearing.

In opposition, Cross-Complainants contend that the bar does not “clearly and affirmatively appear on the face” of the FACC, and the count survives in any event as a recoupment against SKLG’s fee claim.

The Court finds that Cross-Complainants have plead sufficient facts to overcome the bar of the statute of limitations. The face of the FACC does not establish that Cross-Complainants discovered SKLG’s wrongful acts and omissions in April 2024 when the file transfer and end of representation occurred. The FACC states that:

“SKLG’s own papers concede that SKLG continued to render services after the April 14, 2024 substitution, including preparation of successor counsel for the April 30, 2024 hearing. Accordingly, the continuous representation tolling provision of section 340.6(a)(2) tolled the one-year statute until at least April 30, 2024. O’Neill v. Tichy (1993) 19 Cal.App.4th 114 (continuous representation tolling applies even when the client is aware of the negligence, so long as representation continues on the specific subject matter).” (FACC, ¶ 67.)

The First Amended Cross-Complaint states that continued representation was tolled until at least April 30, 2024. Although Cross-Complainants’ allegations demonstrate Cross-Defendants omitted some material communications in the file transfer to new counsel, that in it of itself is not wrongdoing that would constitute Cross-Complainants discovery of professional negligence. The FACC states that:

“On or about April 19, 2024, in connection with the file transfer to successor counsel, KIM expressly admitted in writing that material categories of communications had been excluded from the file transmittal. KIM stated, in writing, that “[a]dditional emails with or relating to the business appraiser and other third parties with the Client about payment issues … were not included in the file transmittal …,” that “this office’s emails with the Client to forward documents received, filed, or served and the client’s acknowledgment of the receipt of the same were not included,” and — most significantly — that “all payment inquiries with the client were also not included, as they only highlighted this office’s conflict with the client and are not pertinent to your case handling.” These are direct, written, contemporaneous admissions by KIM herself.”

(FACC, ¶ 33.)

“Actual injury occurs when the client suffers any loss or injury legally cognizable as damages in a legal malpractice action based on the asserted errors or omissions....section 340.6, subdivision (a)(1), will not toll the limitations period once the client can plead damages that could establish a cause of action for legal malpractice.” (Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison (1998) 18 Cal.4th 739, 743.)

As to the professional negligence cause of action, Cross-Complainants allege that Cross-Defendants and SKLG breached their professional duties by, among other things, “failing to promptly release a complete and unaltered client file upon termination, in violation of California Rules of Professional Conduct, rule 1.16(e).” (FACC, ¶ 68.) Additionally, the FACC alleges that in connection with the April 2024 file transfer, SKLG selectively withheld the communications reflecting “payment issues” and “this office’s conflict with the client” — concealing precisely the records from which the overbilling and conflict claims would be discovered. (FACC ¶¶ 32-34.) Thus, the date of discovery of the unauthorized billing is not present on the face of the FACC.

Moreover, this claim’s defensive relevance supports the conclusion that it is not barred by the statute of limitations. Where “cross-demands for money have existed between persons at any point in time when neither demand was barred by the statute of limitations,” the party sued may assert the demand defensively “notwithstanding that an independent action ... would ... be barred.” (Code Civ. Proc., § 431.70; Construction Protective Services, Inc. v. TIG Specialty Ins. Co. (2002) 29 Cal.4th 189, 196-198.) Here, SKLG commenced this action on November 19, 2025, to collect fees from the underlying representation that gave rise to the negligence and overbilling claims.

Accordingly, the demurrer as to the fourth cause of action is OVERRULED.

5th-6th CAUSES OF ACTION: Accounting; Unfair Business Competition

Unfair business practices under Business and Professions Code Section 17200 et seq., also known as the Unfair Competition Law (UCL), “shall mean and include any unlawful, unfair, or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising.” (Bus. & Prof. Code § 17200.) “A plaintiff alleging unfair business practices . . . must state with reasonable particularity the facts supporting the statutory elements of the violation.” (Khoury v. Maly’s of California, Inc. (1993) 14 Cal.App.4th 612, 619.)

Standing under the UCL is established only where the plaintiff “has suffered injury in fact and has lost money or property” as a result of the alleged unfair practices. (B&P Code § 17204.)

An action for an accounting has two elements: (1) that a relationship exists between the plaintiff and defendant that requires an accounting and (2) that some balance is due the plaintiff that can only be ascertained by an accounting. (Sass v. Cohen (2020) 10 Cal.5th 861, 869.)

Cross-Complainants entered into the Attorney-Fee Agreement and Modified Attorney Services Agreement thereto with SKLG. Thus, they fail to state a cause of action under the claim of Accounting and Unfair Business Practice as to KIM and OPERINI in their individual capacities. The individual attorneys are not proper parties to the fifth and sixth causes of action.

Accordingly, the demurrer as to the fifth and sixth causes of action are SUSTAINED with no leave to amend.

Motion to Strike

The grounds for a motion to strike are that the pleading has irrelevant, false or improper matter, or has not been drawn or filed in conformity with laws. (CCP §436.) In order to plead a prima facie claim for punitive damages, a plaintiff must plead the ultimate facts from which it can reasonably be inferred that a defendant acted with "oppression, fraud, or malice" against the plaintiff within the meaning of Civil Code § 3294. (Coil. Hosp., Inc. v. Superior Court

(1994) 8 Cal.4th 704, 721; Cyrus v. Haveson (1976) 65 Cal.App.3d 306, 316-317.)

Cross-Defendants and SKLG request an order striking:

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False and improper allegations against OPERINI, so that he may be individually liable;

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Punitive and/ or exemplary damages allegations.

As to punitive damages (CCP § 3294), California Civil Code section 3294 authorizes the recovery of punitive damages where “the defendant has been guilty of oppression, fraud, or malice . . . .” (Civ. Code § 3294(a).)

The Court finds that Cross-Complainant’s allegations as to constructive fraud, and the related fraud-derived causes of action, are not unreasonably inflammatory. Instead, the allegations properly set forth the facts from which Cross-Complainants base their claims. For example, paragraphs 84 and 85 of the FACC state how Cross-Defendants’ allegedly fraudulent conduct occurred and why Cross-Complainants reasonably relied on Cross-Defendants’ misrepresentations:

.

Cross-Defendants committed constructive fraud by breaching these fiduciary duties to gain unfair financial advantage in the following specific particulars: (a) procuring the Hybrid Addendum by failing to disclose that the 16.6665 percent contingency fee was negotiable, a material omission that rendered the agreement voidable under Business and Professions Code section 6147, while presenting the addendum as a fixed, mandatory term of continued representation; (b) receiving the $156,493.92 fee award without disclosing its receipt to Cross-Complainants, without holding the funds in trust, and without obtaining informed authorization, concealing from Cross-Complainants that their award had been converted to SKLG’s own use; (c) selectively transferring the client file with material categories of communications omitted, including communications evidencing the in-person collection demands, the dispute over the fee award, and OPERINI's billing entries — a deliberate omission calculated to prevent Cross-Complainants from understanding the scope of the misconduct and to shape the record in anticipation of this fee dispute; (d) concealing that the home-visit cash demands, threats to sue active clients, and demands to sell the family home constituted violations of the Rules of Professional Conduct and the duty of loyalty, inducing CrossComplainants to make payments they would not have made had they understood their rights; and (e) conditioning the disclosure of material case information after discharge on payment as "consultants," leveraging Cross-Complainants' dependence on their former counsel to obtain additional fees.

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Cross-Complainants justifiably relied on Cross-Defendants' fiduciary representations and omissions. As persons with limited legal sophistication and Englishlanguage proficiency, Cross-Complainants reasonably trusted that their attorneys were acting in their best interests, that the fee agreements were lawful and fair, and that the accounting provided was accurate. They did not and could not discover, without full disclosure, that the Hybrid Addendum was voidable or that their fee award had been converted.

Given the causes of action where malice, oppression, or fraud are alleged are not irrelevant, false or improper the motion to strike punitive damages is DENIED.

Likewise the allegations against OPERINI survive given the first cause of action for declaratory relief survives and the Court finds the individual allegations necessary to establish individual liability.

Accordingly, the Motion to Strike punitive damages derived from the 4-6th causes of action is DENIED. The Motion to Strike punitive damages against OPERINI is DENIED.